

Innodisk (5289 TT)

Share price (6 Jul): **TWD1,645.00**

12-mth rating: **Buy (1)**

Information Technology: Taiwan

Record-high monthly revenue driven by flash price hike, beating expectations

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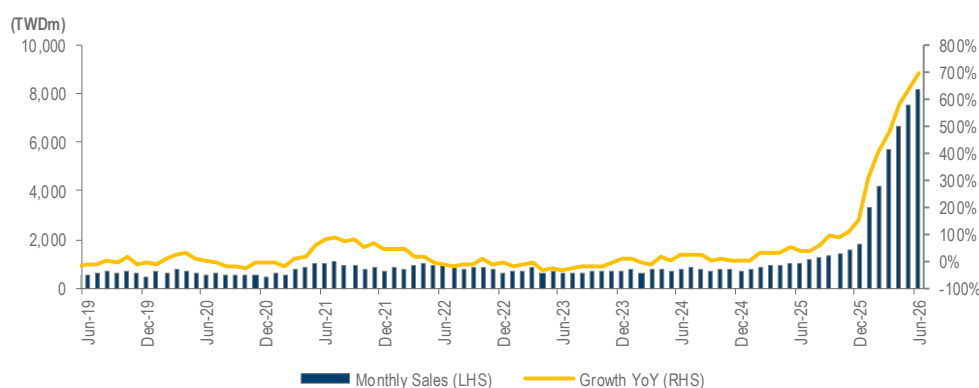
Summary: Innodisk reported another record-high monthly revenue for June 2026 of TWD8,208m (+8.5% MoM and +696.3% YoY; +530.9% YoY for 6M26) on 6 July. Its 2Q26 revenue of TWD22,443m accounted for 153.0% and 134.5% of our and the Bloomberg consensus estimates of 2Q26 revenue. We attribute the solid revenue growth to the flash price hike.

We have a Buy (1) rating on the stock with a 12-month TP of TWD2,385, based on a target PER of 10x, applied to our 1-year-forward EPS forecast. For more information on this company, please refer to our flash, [Record-high monthly revenue boosted by Flash price hike](#), on 5 June 2026.

What's the impact

- **Record-high monthly revenue boosted by flash price hike.** Innodisk reported a record-high monthly revenue in June 2026 of TWD8,208m (+8.5% MoM and +696.3% YoY; +530.9% YoY for 6M26) and its 2Q26 revenue of TWD22,443m (+70.3% QoQ and +641.1% YoY), also a record-high, accounted for 153.0% and 134.5% of our (TWD14,671m, +11.3% QoQ and +384.4% YoY) and the Bloomberg consensus forecasts of 2Q26 revenue, respectively. We attribute the solid revenue growth to the flash price hike.

Innodisk: consolidated monthly sales



Source: Company

- **Much stronger demand over supply.** Innodisk expects its revenue momentum to continue into 2H26. The company had expected its gross margin to further improve in 2Q26, thanks to the flash price hike. Due to the strong visibility, the company is currently selective with orders and is focusing on value creation across applications, clients and products. Its AI-related revenue may exceed 30% in 2026, up from 25% in 2025, according to management.

What we recommend

We reaffirm our Buy (1) rating with a 12-month target price of TWD2,385, based on our target PER of 10x, applied to our 1-year forward EPS forecast. Based on our 2026/27 EPS estimates, the stock is currently trading at PERs of 6.9x/6.8x, vs. its past-3-year trading range of 1-26x. Key risks: weaker-than-expected memory price hikes and slower-than-expected progress in high-gross margin orders.

In the interests of timeliness, this document has not been edited.

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Rating	Percentage of total
Buy*	72.63%
Hold**	20.53%
Sell***	6.84%

Source: Daiwa

Notes: data is for single-branded Daiwa research in Asia (ex Japan) and correct as of 30 June 2026.

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